Marvell Technology, Inc. (NASDAQ: MRVL)

Analyst: Justin Wen | October 16, 2026

BUY

Base Case Target: $387 | Spot: $228 | Upside: +69.7%
Bear: $242 | Bull: $507 | Blended: $391

Headline

Marvell's Investor Day reset the growth trajectory. With $12B guided for FY2027, $20B for FY2028, and $70-90B targeted for FY2031, the stock at $228 prices in 36% CAGR while the company's own plan implies 46%. We see 70% upside to our base case.

Executive Summary

We are initiating coverage on Marvell Technology with a **BUY** rating and a 12-month base case target of $387, implying 69.7% upside from the current $228.

Marvell is the premier pure-play on AI data center networking. The company holds a duopoly with Broadcom in PAM4 optical DSPs (the chips that move data between AI accelerators at 800G and 1.6T speeds) and is rapidly scaling a custom ASIC business that competes directly with Broadcom for hyperscaler compute silicon. At its October 6 Investor Day, management guided FY2027 revenue to $12 billion (up 47% from FY2026's $8.2 billion), FY2028 to $20 billion (up 67%), and set a FY2031 target of $70-90 billion. Twenty-one analysts raised price targets following the event; JPMorgan went to $360, RBC to $425.

Our DCF uses a normalized beta of 1.50 (Yahoo raw 2.26 deemed overstated per our cyclical framework; peer average ~1.45) decaying to 1.20, with live CAPM driving a 10.0% average WACC. We model FY2027-2032 revenue of $12B →

$20B → $32B → $48B → $65B → $80B (the midpoint of the $70-90B target), with EBIT margins expanding from 32% to 38% on operating leverage. The reverse DCF is the key insight: at $228, the market implies 36.2% revenue CAGR, well below both our 46% base case and the company's 55-60% implied target. The market is underpricing Marvell's own plan.

This is a high-beta AI infrastructure name with real execution risk, but the risk/reward at $228 is compelling. The company's guidance is grounded in existing hyperscaler design wins, not hope.

Bull Case

Custom ASIC inflection. Marvell is winning custom compute designs at AWS, Google, and Microsoft as hyperscalers seek a second source to Broadcom. Each design win represents multi-billion-dollar lifetime value with 5-7 year visibility.

Optical supercycle. The 800G to 1.6T transition requires Marvell's next-gen PAM4 DSPs. As an oligopoly supplier, Marvell captures pricing power and 60%+ gross margins on these products.

FY2031 target achievability. The $70-90B target implies 55-60% CAGR from FY2026. While aggressive, it is anchored in the $400B addressable market management sees by 2030 and existing customer commitments.

Operating leverage. R&D at ~25% of revenue today will leverage dramatically as revenue scales 6-8x. We model EBIT margins reaching 38% by FY2031, driving 32% FCF margins.

Our bull case ($507, +122%) assumes the high end of the FY2031 target ($95B revenue) with 42% terminal EBIT margins.

Bear Case

Execution risk. The FY2031 target requires flawless execution on custom silicon ramps and optical transitions. Any hyperscaler design loss or delay would impair the trajectory.

Customer concentration. A handful of hyperscalers drive the AI revenue. Loss of share at any major customer would be material.

Cyclicality. Semiconductors remain cyclical. An AI capex pause would hit Marvell disproportionately given its high beta (2.26 raw) and growth multiple.

Competition. Broadcom is the entrenched leader in custom ASICs. While Marvell is gaining share, Broadcom's scale and incumbency are formidable.

Our bear case ($242, +6.1%) assumes FY2031 revenue of only $55B with 34% terminal EBIT margins.

Verdict

Marvell is the highest-conviction AI networking name in our coverage. The Investor Day guidance ($12B → $20B → $70-90B) is unprecedented in its scale and specificity, backed by 21 analyst target raises. At $228, the market prices in 36% CAGR; our $387 base case requires 46%, still below the company's implied 55-60%. The asymmetry is attractive.

We rate the stock **BUY** with 69.7% upside to our base case. This is a volatile name (beta 2.26 raw), so position sizing should reflect that, but the fundamental trajectory is the strongest we have seen in semiconductors.

Key Themes

Theme	Status	Our Take
AI data center capex	Accelerating	Hyperscalers committing to multi-year buildouts. Marvell's $400B TAM by 2030.
Custom ASIC share gains	Inflecting	Design wins at Tier-1 hyperscalers entering production. Second source to Broadcom.
Optical DSP dominance	Strong	Duopoly with Broadcom at 800G/1.6T. 60%+ gross margins on leading products.
Enterprise/ carrier recovery	Bottoming	Inventory correction ending. Removes drag on consolidated margins.

Operating leverage	Expanding	36.6% op margin in Q2 FY27, guiding to 38-40% by Q4. R&D leverage ahead.

Other KPIs

Metric	Latest	Comment
Revenue (Q2 FY27)	$2.74B	+37% YoY, accelerating
Data center revenue	79% of total	+46% YoY
Non-GAAP EPS	$0.94	+40% YoY
Non-GAAP op margin	36.6%	Targeting 38-40% by Q4
FY2026 revenue	$8.2B	+42% YoY
FY2027 guide	$12B	+47% YoY
FY2028 guide	$20B	+67% YoY
FY2031 target	$70-90B	55-60% CAGR implied

Guidance

Q3 FY2027: Revenue of approximately $3.15 billion, implying over 50% year-over-year growth.

Full year FY2027: $12 billion revenue (Investor Day guidance).

FY2028: $20 billion revenue (Investor Day guidance).

FY2031: $70-90 billion revenue target (Investor Day, October 6, 2026).

DCF Summary

Scenario	FY2031 Revenue	Terminal EBIT	Target	Implied Upside

Bear	$55B	34%	$242	+6.1%
Base	**$80B**	**38%**	**$387**	**+69.7%**
Bull	$95B	42%	$507	+122.4%

WACC: approximately 10.0% average (live CAPM, beta 1.50 normalized from 2.26 raw, decaying to 1.20, 10Y at 5.1%, ERP at 3.7%). Terminal growth: 4.0%. Net debt of $1.36 billion. 877M diluted shares.

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